INDIAN CONTRACT ACT, 1872 (ESSENTIAL PROVISIONS)

Section 10. What Agreements are Contracts

All agreements are contracts if they are made by the free consent of parties competent to contract, for a lawful consideration and with a lawful object, and are not hereby expressly declared to be void.

Section 27. Agreement in Restraint of Trade Void

Every agreement by which anyone is restrained from exercising a lawful profession, trade or business of any kind, is to that extent void. Exception: One who sells the goodwill of a business may agree with the buyer to refrain from carrying on a similar business within specified local limits.

Section 73. Compensation for Loss Caused by Breach

When a contract has been broken, the party who suffers by such breach is entitled to receive, from the party who has broken the contract, compensation for any loss or damage caused to him thereby, which naturally arose in the usual course of things from such breach.

Section 74. Compensation for Breach where Penalty Stipulated

When a contract has been broken, if a sum is named in the contract as the amount to be paid in case of breach, the party complaining of the breach is entitled to receive reasonable compensation not exceeding the amount so named or penalty stipulated.

Section 124. Contract of Indemnity Defined

A contract by which one party promises to save the other from loss caused to him by the conduct of the promisor himself, or by the conduct of any other person, is called a contract of indemnity.